

stocks he may desire to own. Because the profit margin available for dealers in such stocks is large enough to make it worthwhile, a great many over-the-counter dealers keep a regular inventory of the stocks they normally handle. They usually are not at all reluctant to take on additional 500- or 1000-share lots when they become available. When larger blocks appear in their favorite issues, they will frequently hold a sales meeting and put on a special drive to move the shares that may be available. Normally they will ask a special selling commission of a point or so for doing this. However, all this means that if an over-the-counter stock is regularly dealt in by two or more high-grade over-the-counter dealers, it usually has a sufficient degree of marketability to take care of the needs of most investors. Depending on the amount offered, a special selling commission may or may not be required to move a large block. However, for what is at most a relatively small percentage of the sales price, the stock which the investor desires to sell can actually be converted into cash without breaking the market.

How does this compare with the marketability of a stock listed on a stock exchange? The answer depends largely on what stock and on what stock exchange. For the larger and more active issues listed on the New York Stock Exchange, even under today's conditions a big enough auction market still exists so that in normal times all but the largest blocks can be moved at the low prevailing commission rates without depressing prices. For the less active stocks listed on the New York Stock Exchange, this marketability factor is still fair, but at times can sag rather badly if regular commissions are depended on when large selling orders appear. For common stocks listed on the small exchanges, it is my opinion that this marketability factor frequently becomes considerably worse.

The stock exchanges have recognized this situation and have taken steps to meet it. Nowadays, whenever a block of a listed stock appears which the exchange thinks is too big to market in the normal fashion, permission may be given for the use of devices such as "special offer-ings." This simply means that the offering is made known to all members, who are given a predetermined larger commission for selling these shares. In other words, when the block is too large for the brokers to handle it as brokers, they are given commissions large enough to reward them for selling as salesmen.